1. The Marketing Mix: Promotion

1.1. Why is promotion an important part of the marketing mix?

- Promotion involves communicating with potential customers
- It helps increase awareness and create an image in consumer minds
- The combination of all promotion techniques used (advertising, direct selling, sales promotion) is known as promotion mix
- The promotional budget is a key factor when making promotion mix decisions

1.2. Promotion objectives

- Aims of having promotional objectives:
- Increase sales by new customers
- Raise customer awareness
- Remind customers about the USP/product
- Increase purchases by existing customers
- Demonstrate USP and product differentiation strategies
- Correct misleading reports/image
- Develop a public image
- Encourage retailers to stock and promote their product

1.3. Advertising

- Known as 'above-the-line' promotion
- Communicating information about the product through TV, radio, magazine, etc
- Effectiveness depends on selecting the appropriate target market and suitable media
- Helps increase awareness and long-term brand loyalty and image

Types of advertising

- Persuasive – involves creating a distinct image for the product and encouraging repeat purchases.
- Informative – give information about the product's features, USP, qualities, etc. usually used for new products. Used to attract new customers

1.4. Advertising agencies

- They are firms who advertise businesses in the most effective way possible.
- They are expensive but are specialists and will provide the entire promotional plan for a business
- Stages in creation of a promotional plan:
  - Research the market
  - Identify and advise on the most cost-effective forms of media to use
  - Use creative designers to devise ads
  - Print out the adverts
  - Monitor public reactions to improve future ads

1.5. Advertising decisions – which media to use?

- Greater the promotional budget, wider media choices available
- Factors to consider when choosing the media to use:
  - Cost – TV, radio and cinemas are very expensive whereas newspapers emails and leaflets are cheaper forms
  - Size of audience – it will allow the cost per person to be calculated. Larger the size, wider reach media must be used like national or international newspaper
  - Consumer profile of target audience – this will help in designing the advert and identifying which media to use.
  - Message to communicate – written forms are most effective as their hard copy can be stored
  - Other aspects of marketing mix – all marketing mix aspects must be kept in mind to ensure they are integrated as closely as possible
  - Legal and other constraints – there maybe constraints as to what ads can contain in different countries, so these should be kept in mind in order to avoid legal barriers

1.6. Types of Advertising Methods

Print Advertising:

Appears in newspapers, magazines, and specialised publications.

Benefits:

- Can target specific towns, regions, or readers of special interest magazines.
- Offers a physical copy that consumers can keep for future use.

Limitations:

- Expensive as if tries to gain national coverage.
- Less effective with younger consumers compared to digital ads due to usage of social media.

Broadcast Advertising:

Includes TV, radio, and cinema ads.

Benefits:

- Creates a brand image through visuals and actors.
- Can reach national or international audiences.

Copyright © 2025 ZNotes Education & Foundation. All Rights Reserved.
This document is authorised for personal use only by Sadia Ali at Enderun Colleges on 06/04/26.

- Memorable if visually striking.

Limitations:

- High costs to buy media time.
- Ad production is expensive.
- No physical copy to keep.

Outdoor Advertising:

Seen on billboards and bus shelter posters.

Benefits:

- Cheaper than other types of advertising.
- Can be placed in popular areas with large quantity of potential customers passing by.
- Seen multiple times by passers-by.

Limitations:

- Popular spots are costly.
- Ads can be damaged or vandalised.
- Many passers-by might not notice the ads.

Product Placement Advertising:

Products appear in TV shows and films.

Benefits:

- These shows or films are chosen to target a specific audience.
- Creates a positive image if linked to famous actors or popular shows.
- Not direct advertising; some viewers think the product is used because it's desirable, not because it was paid for.

Limitations:

- The show, film, or actors might lose popularity.
- Very expensive for well-known shows or films.

Guerrilla Advertising:

Benefits:

- Products are advertised in surprising, unconventional ways to grab attention.
- Low cost, such as using graffiti, but permission is recommended.
- Can be creative and appeal to young people.
- Encourages word-of-mouth among potential customers.
- A staged event might get free media coverage.
- Example: Coca Cola's "Share A Coke" campaign.

Limitations:

- The message might be misunderstood.
- Could be seen as irresponsible and lead to negative reactions.
- Might be remembered for the wrong reasons.

Sponsorship:

A business pays to be associated with an event, person, or sports team, like having their logo on a team's shirts.

Benefits:

- Good publicity from being linked to major events.
- Global media coverage for large events.
- The success of the team or individual can boost interest in the brand.
- Example: Sponsoring a Formula One team can bring in much more free publicity than the cost.

Limitations:

- Can be very expensive to pay the team or individual, especially if they are a big name in their field or world known.
- If the event, team, or individual fails, it can negatively affect the brand.

1.7. Which Advertisement method to choose from?

One need to review the following points before choosing their advert form for marketing purposes. They are:

1. *Cost:* Marketing managers should compare the cost of different methods, including cost per target consumer. Using celebrities in ads increases costs, while viral marketing on social media can be almost free. For example, if £100 broadcast adverts is seen by 500 potential customers, that is £0.2 per potential customer who had been exposed to the brand ad. It is called cost per click in digital marketing.
2. *Consumer Profile:* It's important to match advertising to the right audience. Advertising a children's toy late at night or exclusive clothing in a cheap newspaper wouldn't be effective. Younger audiences are more reachable through social media and digital marketing.
3. *Message and Image:* Written ads work well for detailed product information, as they can be revisited. For promoting new clothes or sports gear, a vibrant TV ad or YouTube video might be better.
4. *Marketing Mix:* Ads should align with other marketing efforts. For example, promoting cheap meals in a high-end women's magazine could be ineffective.
5. *Legal Constraints:* Laws can restrict certain types of ads. For instance, tobacco ads were banned in Formula One, and some countries limit TV ads aimed at children to prevent undue influence.

1.8. Sales promotion

- Also known as below-the-line promotion
- It aims to achieve a short-term rise in sales

Copyright © 2025 ZNotes Education & Foundation. All Rights Reserved.
This document is authorised for personal use only by Sadia Ali at Enderun Colleges on 06/04/26.

Methods of sales promotion

1. Price reductions –
    1. A temporary reduction in price
    2. Also known as price discounting
    3. Reduce the profit margin on each product
    4. May have a negative impact on reputation
2. Money-off coupons –
    1. They are focused on offering a price discount. These coupons maybe present in newspapers, leaflets
    2. Retailers may not have enough stock, leading to customer disappointment
    3. Effectiveness depends on size of coupon
3. Customer loyalty schemes –
    1. Focused on encouraging repeat purchases. They usually involve loyalty cards reduces profit margin on each product
    2. High administration costs
4. Money refunds –
    1. Offered when receipt is returned to the manufacturer
    2. Involve customers filling in forms which maybe a disincentive
    3. Delay in refund may affect brand image
5. BOGOF –
    1. Buy one get one free
    2. Substantial fall in profit margin
    3. If used to sell of stock, may impact brand image
    4. Current sales may increase, but future sales may fall
6. Point-of-sales-display –
    1. Placing products in attractive and informative places
    2. Only offered to market leaders
    3. New products may struggle

1.9. Direct Promotion

Personal selling

- It involves having a sales staff communicate and sell to each customer individually
- Expensive
- Requires skilled sales staff
- Used for expensive, luxury items
- High success rates

Telemarketing:

- This involves using the phone to sell, research, and promote products, often from call centres.
- Telemarketing can be outsourced. The outsourced contractor might charge for the script and either by the hour or for each successful lead.
- It's cost effective compared to personal selling.
- Business can monitor how many people respond or reject the calls.
- However, many people dislike cold calls and can lead to fall in perception of the brand if it is done repeatedly.
- It's easy for consumers to ignore telemarketing.

Direct mail

- Information is directly sent to potential customers, identified by market research
- May provide detailed information
- Well focused on potential customers
- Cost effective
- Maybe missed

Trade fairs and exhibitions

- Used to market to other businesses (retailers and wholesalers)
- Used to make contacts and identify potential customers

Public relations (PR)

- It is used to gain free publicity provided by the media
- Tries to arrange positive TV and press coverage
- Maybe used to put forward the company's views on specific incidents
- Used to improve reputation

1.10. Digital Promotion

Social Media Marketing:

Social media is used not just for marketing but also for connecting with people and following interests. Businesses often use multiple platforms like Facebook, Twitter, and Instagram. Popular methods include ads, hashtag campaigns, and influencer marketing.

Email Marketing:

This method connects with customers directly in their inboxes, helping to boost brand loyalty and sales. Common tactics include newsletters, purchase confirmations, and product updates.

Online Advertising:

This involves placing pop-up banners or ads on websites targeting similar audiences. Platforms like Google AdSense help businesses automatically display ads on related sites.

Smartphone Marketing:

This method is crucial for reaching younger consumers. Businesses use emails, text messages, and free apps to engage

Copyright © 2025 ZNotes Education & Foundation. All Rights Reserved.
This document is authorised for personal use only by Sadia Ali at Enderun Colleges on 06/04/26.

users, often sending real-time updates. Messaging platforms like Messenger and Telegram also allow the use of marketing bots.

Search Engine Optimisation (SEO):

SEO helps businesses rank higher on search engines like Google, making them more competitive. Methods include optimising content for specific keywords, but businesses must keep up with changing search engine algorithms.

Viral Marketing:

Viral marketing aims to create content that spreads quickly online, like videos or memes. It uses multiple channels such as Twitter and YouTube. Influencers with a large following play a key role in spreading these viral messages.

Social Media Marketing:

Social media is used not just for marketing but also for connecting with people and following interests. Businesses often use multiple platforms like Facebook, Twitter, and Instagram. Popular methods include ads, hashtag campaigns, and influencer marketing.

Email Marketing:

This method connects with customers directly in their inboxes, helping to boost brand loyalty and sales. Common tactics include newsletters, purchase confirmations, and product updates.

Online Advertising:

This involves placing pop-up banners or ads on websites targeting similar audiences. Platforms like Google AdSense help businesses automatically display ads on related sites.

Smartphone Marketing:

This method is crucial for reaching younger consumers. Businesses use emails, text messages, and free apps to engage users, often sending real-time updates. Messaging platforms like Messenger and Telegram also allow the use of marketing bots.

Search Engine Optimisation (SEO):

SEO helps businesses rank higher on search engines like Google, making them more competitive. Methods include optimising content for specific keywords, but businesses must keep up with changing search engine algorithms.

Benefits of Digital Advertisement:

- A website helps businesses find new global markets by providing the brand a worldwide reach, increasing their potential customer base.
- A well planned and targeted digital promotion campaign can reach the appropriate potential customers at a lower cost than traditional advertising.
- Web analytics make it simple to measure how effective a campaign is, providing detailed insights to improve future marketing strategies or strategies of the business as a whole.
- Digital promotion allows businesses to offer personalized experiences, making customers feel special with targeted offers.
- Active social media engagement and quick responses to customer messages can build loyalty and a good reputation.
- Digital advertisement, such as content marketing, lets businesses create engaging content like images and videos, which can help boost their brand, especially if it goes viral.
- Websites make it more convenient for customers to purchase, leading to higher success rates compared to other sales methods.

Limitations of Digital Advertisement:

- Managing online ads and creating marketing content is time-consuming and expensive if firm hires an expensive digital agency. The success of promotions should be weighed against the time and cost involved.
- Employees need updated skills to succeed in digital marketing since tools and trends change quickly. Regular training may be vital.
- While it's easy to reach a global audience, it also means more competition. Standing out among many competitors might be challenging and costly, often requiring search engine optimisation.
- Negative feedback can spread quickly online. It's important for businesses to respond promptly and effectively to any criticism on social media or review sites.

1.11. How to measure success of Promotion?

The business needs to ensure their marketing manager gather maximum information in regards to the success or failure of their promotional strategies. The managers can measure it by:

- Business can compare product sales performance before the promotion with daily and weekly sales during and after the campaign to measure impact.
- Market research agencies provide weekly data on the degree of consumer awareness and response to ads, offering quick feedback on the campaign's progress.
- Consumer panels might be useful for giving detailed feedback on how well promotions and ads are working.
- Firm can monitor how many people respond to ads through tear-off slips, phone calls, website visits, or views on video sites.
- Social media feedback quickly shows how well a new product or promotion is received, making it a key measure of success.

Copyright © 2025 ZNotes Education & Foundation. All Rights Reserved.
This document is authorised for personal use only by Sadia Ali at Enderun Colleges on 06/04/26.

1.12. Branding

- It is a distinguishing name given to a product

Aims –

- Customer recognition
- Product differentiation
- Giving the product an identity

Benefits of branding –

- Increases chances of consumer recall
- Product differentiation
- Increases consumer loyalty

Limitations of Branding:

- Developing and maintaining a good brand image can be costly
- Building the Brand's unique identity will be time-consuming
- Brand image can be damaged by potential negative publicity and bad experience of customer service etc.

Effective Branding Advantages:

- It will make the brand image even stronger and make advertising easier as the brand can be advertised as one unit which will improve sales of all products associated with it.
- It helps consumers remember the brand, even when many similar products are available.
- Might help sets the product apart distinctively from others, with promotion reinforcing the difference.
- Assists in establishing the creation of related products under the same brand name.
- Makes consumers less sensitive to price increases, as they often prefer well-known brands and are willing to pay more.
- It can increase brand loyalty to the brand, giving significant advantages in its market.

1.13. Packaging

- The quality, design and colour of packaging play an important role in promotion
- Cheap and nasty packaging may destroy the brand image
- Unique packaging can help the brand form necessary basis of promotional theme, such as Audi cars are identified through their 4 ring on the front of a car
- Wasteful expenditure on packaging alongside rise in environmental concern and creation of pressure groups might lead to negative publicity if it's packaging is deemed too pretentious or polluting. This will even reduce the product's competitiveness
- Packaging decisions must be blended in with the overall objectives of the business
- Functions –
  - Protect the product
  - Give important information
  - Support the brand image
  - Aid customer recognition

Copyright © 2025 ZNotes Education & Foundation. All Rights Reserved.
This document is authorised for personal use only by Sadia Ali at Enderun Colleges on 06/04/26.